

26STCV08866 26STCV08866

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Plaintiff JMJ Creative, Inc. ("JMJ") sued a corporate entity, Defendant Sisly Corporation ("Sisly"), as well as two individuals, Defendants Jeff Namki Choi ("Choi") and Young Jaw Rafael Lee Shin ("Shin"). In its operative First Amended Complaint ("the FAC"), JMJ alleges that it entered into a series of contracts with Sisly for JMJ's sale to Sisly of certain goods, and that there is an unpaid balance on some of those goods. JMJ further alleges that Sisly initiated purchase orders from JMJ but that Sisly unilaterally cancelled the orders. As to Choi and Shin, the FAC alleges that they are the owners and shareholders of Sisly and are the alter egos of Sisly. The FAC asserts causes of action against Sisly, Choi, and Shin for breach of contract, common count, and account stated.

Pending before the Court is the demurrer of Choi and Shin (collectively, "the Individual Defendants") to all of the causes of actions in the FAC. The Court is sustaining the demurrer with leave to amend. JMJ shall file and serve a Second Amended Complaint within 21 days of this order. The case management conference that is scheduled for September 21, 2026 is vacated. It is reset for February 16, 2027 at 8:30 a.m.

The Individual Defendants' primary argument in their demurrer is that the allegations in the FAC are insufficient to impose liability on them for Sisly's actions on an alter ego theory. The Court agrees.

The general rule

that is officers and shareholders of a corporation are not personally liable for the alleged wrongdoings of the corporation.

(Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.) To establish personal

liability of individual defendants for corporate wrongs based on an alter ego theory, the plaintiff must demonstrate (1) a unity of interest of ownership between the individuals and the corporation such that the separate personalities of the corporation and the individuals do not exist in reality, and (2)

and a resulting

injustice if the corporation is treated as the sole responsible actor. (Ibid; see also Leek v. Cooper (2011) 194 Cal.App.4th 399, 415.)

In the FAC, JMS asserted

that there is a unity of interest between Sisly and the Individual Defendants and that an injustice would result if Sisly's corporate veil is not pierced so as to permit the imposition of personal liability on the Defendants. But JMS alleged no specific facts to support that assertion. Under alter ego case

caselaw, such facts could include, for example, allegations that Sisly was inadequately capitalized, existing as a mere shell and conduit for the Individual Defendants' affairs, who used the corporation's assets as their own, and that corporate formalities were not observed. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 235.) As the Individual

Defendants pointed out in their demurrer, no allegations of this kind were made in the FAC. JMJ failed to respond to

this argument in its opposition to the demurrer. It simply fell back on the broad assertion of alter ego liability in the FAC. That does not cut it.

All of the causes of action in the FAC against the Individual Defendants depend on the alter ego theory.

Because the allegations in the FAC are insufficient to establish alter ego liability, each cause of action against the Individual Defendants fails.